The Impact of Social Media Usage on Marketing Activities and Growth of Small and Medium Enterprises in Selected Metro Clark Area

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Abstract

The research aimed to determine the response of the SME's in the Metro Clark Area on their marketing strategy and enterprise success using Social Media platforms as a business tool. Various activities were examined through correlation analysis to have a better insight on social media's impact to the SMEs. The study had set a confidence level of 95% and a level of significance of 9% to determine the sample population of the study, Cronbach's Alpha was used in reliability scale. Simple random sampling was used in identifying the respondent. Likewise, convenience data gathering was employed based on accessibility, availability and cost effectiveness of gathering data. SPPS was utilized to analyze the data. The results had significantly shown that the availability of social media application ready devices did not create a barrier nor internet connectivity an obstacle on the other hand a higher degree of participation in social media is encouraged. The promotion of social media for various marketing strategies and activities cannot be overlooked, hence, there should be a greater promotion and engagement. Create the right and a responsive awareness campaign that needs support from all sectors, primarily the government to encourage and realized the effect of social media in achieving enterprise success resulting in a better financial performance. The study concludes that a policy guideline aimed at protecting the SMEs from unethical and deceitful users of social media. Furthermore, an incentive scheme for SMEs needs to be studied to encourage usage of social media tools and applications for business endeavors.

Keywords: social media, small and medium enterprises, marketing tool, marketing activities, SME,

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Introduction

The promotion of new applied science had brought rapid development on several sectors of the company. The digital age had spurred creativity and innovation, which brought in a raw wave of communication primarily the advent of social media. Noted use of social media can be viewed in whatever facet of life where significant figure resides on informal and personal way of communication. Moreover, progressively ubiquitous ease, access, social occasion and being flexible are the forcing components of adopting social media (Brown, S., 2010) (Schroeder, A., Minocha, S., & Schneider, C., 2010). The style of applying social media platforms had created numerous ways and means of improving ways of spirit. Social media applications in the industry had caught the interest of business people, which created an impression that further understanding and research should be directed to ascertain the social media's effect in the business universe. Business environment operates change due to the onslaught of Social Media. Social media provide easy access to the businesses on resources that are hard to secure or not at hand. Today, a small company sitting in a distant place through social media can touch base with nodes and prospects in whatever region of the globe. One of the major benefits to companies is targeting prospective clients and building a better customer relations management. The social media platform provides the customers on the trends and innovation of products which includes changes, launches and various communications that help run their business. Arguably, social media platform reconfigure and change the landscape of competition. The social media technologies tremendously use information technology, which in effect increased productivity of enterprises, especially in the small and medium sector as stated by Dr. Tom Wielicki and Dr. L. Arendt, Professors of Business at the Craig School of Business. It can be noted that users of Social Media Networks create primarily the intended purpose and adds value as they explore and continuously used the applications; enhancement lies about them and maximizing the usage lies on heavily on their hands. Creators and developers of social media portals and applications enormously gave way for various uses such as for blogs, social tags, podcasts, social network, file shares, games and creative purposes that users can imagine.

Research Background

The continuous interest on the application of social media in business had open new doors for development in the sector. This is the reason why academics, business practitioner and think-tanks had conducted studies to understand better how social media contributes to the (Kenyatta University Institutional Repository, 2014). The economy and business undertakings somewhere else became a boundary less due to social media. Today, a small company sitting in a remote place; the physical location of both the producers and consumers easily phased out by the introduction of information highways as it is shown through the use of social media platforms for both ends of the continuum. The social media built the business endeavors more efficient and effective removing the barriers between all parties involve; interactions easily facilitated through social media and shaping a more dependable communication between stakeholders which led to a better partnership. Weilicki and Arendt (2010) were very vocal about the idea that indeed social media are key tools for competition as both producers and consumers maximize the usage of such platforms for their benefits (Mindcruch, 2011). With the numerous advantages of Social Media to business activities as stated by experts, the participants try to bring better exposure and use the social media platforms to be competitive in the marketplace.

Problem of the Study

1. What is the impact of the marketing activities of SMEs in Metro Clark Area when using social media?
2. What is the effect on the growth of SME in Metro Clark Area when using social media?

Objectives of the Study

The study will be able to:

1. Determined the impact of social media on the market activities of the SME in Metro Clark Area.
2. Established the impact of social media on SME's growth in Metro Clark Area.

Research Questions

1. Which electronic gadget they have to access social media?

2. Do SMEs owners and/or managers have internet or WIFI connectivity to access social media?
3. Do SMEs owners and/or managers are aware on the tools and application of social media on their business?
4. What is level of usage of social media for SMEs in Metro Clark Area?
5. Which social media tools and application is used by SMEs in Metro Clark Area?
6. Which is the reason for SMEs in Metro Clark Area of not using social media tools?
7. Which way do social media impacts SMEs on their marketing activities and growth?
8. What is the effect of Social Media on the marketing activities and growth of SMEs in Metro Clark Area?
9. How do social media create opportunity for enhancing SMEs marketing activities and growth?

Literature Review

Social media as stated by Kaplan and Haenlin (2010) had evolved from the used of internet which had became an avenue for exchanging information from among users. It was further noted that the Bulletin Board System of the 1980s had paved way for the social media networking. The BBS works as a platform for sharing software and data and also end private messages to users through posting in a public message boards.

Social Media also known as social networking is a phenomenon that changes the business environment which also includes Web 2.0 where it creates network of communities through collaboration of producing and sharing media content. In such case, users were able to share and their views and experiences using the social media platform. The effect is a tangible process that enhances creativity, communication and knowledge sharing while using social media tools like Facebook, Skype and various discussion boards and platforms, (Tapscott and Williams, 2008)

The Social Media had paved way for business entities to explore possibilities outside their frontiers. Zontanos and Anderson (2004) noted that social networking allows businesses to established their worthiness, and forged tie up and strategic alliances and dynamism. The contribution of social media is networking between players in the industry benefitting business owners who does not have adequate technical skills, attitude and abilities and the much needed knowledge to be competitive in the market and moreover, attracting qualified manpower for much

needed expansion (Simon, 2012). He further noted that possibilities are numerous and unprecedented with the introduction of social media, tremendous benefits can be realized. Social networking platforms had opened the doors for greater access to potential target market, providing and effective customer relations management, quality products and services that satisfy the customers and instituting a favourable pricing mechanism for all sectors involved (Simon, 2012). Smith and Taylor (2004) stated that firms on the 21st century had faced massive changes as they encountered turbulent business climate; the information highway became a significant game changer business sector and in the entire human race. The internet as a mode of communication had erased the physical boundaries between buyers and sellers, it became a vital marketing tool for companies to determine what the market needs and what satisfy them (Jaokar, Jacobs, Moore and Ahvenainen, 2009).

The original purpose or intent of social media is bring closer people, i.e., to connect, to communicate and to share (Bughin and Chui, 2010). The success had resulted to adoption of the business world for communication. On the present days, business entities had utilized social networks as a medium in different processes and practices that includes dealing with the customer and marketing strategy (Harris and Rae, 2009).

Research Methodology

The study will utilize descriptive research design to know the extent on the use of social media and its impact marketing activities and SMEs growth in Metro Clark Area. The study will focus on SMEs that are registered business entity classified as small and medium enterprise. Simple random sampling will be utilized to derive the desired target respondents. Purposive sampling will be used to get an easy access on the needed sample size. A structured questionnaire will be administered from owners and/or managers of the SMEs. Closed questions and open-ended questions of questionnaires will be utilized to assure reliable and complete data generated. Analysis of data will be done through SPSS (Statistical Package for Social Sciences) to calculate and determine descriptive statistics and correlation analysis. Descriptive statistical analysis will be generated and data will be tabulated using percentages for the nonnumeric information gathered where the findings were summarized, explained and interpreted.

Data Collection (Primary and Secondary)

The primary data will comprise of the data from the interview conducted and questionnaires distributed to managers, owner and key employees of the identified respondent firms. Interview with experts on social media usage from the IT sector, media practitioners, academics, business representative, communication facility service providers and government authorities will also be considered.

The secondary data that will be utilized in this study will be taken from journals and articles, website materials, government portal and reference books where they provide the much needed data for the conduct of the study.

Sampling Technique

The researcher will use descriptive. Both primary and secondary data will be used, particularly survey questionnaire and other published and unpublished study related to this topic. The pre-tested questionnaires will be distributed to identified respondents of the study. Likert scale will be used to determine the degree of response of the respondents. The questionnaires will be provided to respondents and will be picked up on an agreed time. The research enumerator will explain what the study all about and how the questionnaire will be filled out by the respondents.

Sampling Size of the Study

The survey questionnaires will be randomly distributed to SMEs available at Metro Clark Area based on the researchers' convenience and data will be analyzed with the aid of SPSS (Statistical Package for Social Sciences

Data Gathering

The questionnaire will be designed to gather data in determining the marketing activities and growth of SMEs in the Metro Clark Area as an impact on the usage of social media. To support the study; the researcher will make follow up interview with respondents in validating and clarifying the data gathered through the questionnaire. Questionnaires will be pre tested and be validated its reliability using Cronbach's Alpha reliability scale.

Research Timeline:

	Activities	Date	Remarks
1	Writing of Research Proposal (topic, planning of activities)	June 2016	Meet Research Unit
2	Approval/ Evaluation of Resources Needed	July 2016	Planned for printing of questionnaires, identified respondents
3	Writing of Introduction, Review of Literature	August 2016	Gather materials
4	Research Methodology	September 2016	Pre-test questionnaire
5	Data Gathering	September-December, 2016	Questionnaire administered through students
6	Data Analysis and Interpretations	January-February, 2016	Statistical treatment of data
7	Findings, Recommendations, Conclusion	March 2016	Brainstorming
8	Final Draft	March 2016	Encoding of draft paper
9	Presentation	April 2016	Colloquium